

That's the way we decide how to spend our days. We concentrate on the controversial cases that can make a big difference.

Aureodigititis

All this constant checking and rechecking, this poring over financial statements and running around the country (and, these days, the world) talking to company executives is demanding work. If you aren't working hard at this terribly competitive business, you aren't going to do very well. But at times you can fool yourself. One of the main occupational diseases of professional investors—and it can strike anyone—I call "aureodigititis," the disease of the golden finger.

The way you are stricken is by looking at *The Wall Street Journal*, pointing your finger at Beefsteak Mines, and thinking, "I like that stock." You buy some and it goes up 30 percent. A month later, reading *Barron's*, you see a write-up of Amalgamated Conglomerate, and you say to yourself, "Sounds great. I love that company." You buy some and it goes up 40 percent. After this has happened a couple of times, you tell yourself, "This is a marvelous finger. Whatever I point this finger at turns into gold. What's more, with this magic finger I've got, I don't have to do my research so thoroughly. I've become a great intuitive stock picker." Aureodigititis has clearly reached an advanced state and, unless quickly diagnosed and treated, will bring disaster.

All this isn't as silly as it sounds, because the disease can strike anyone during a bull market. You begin to believe in your infallible genius. It's a terrible trap. Intuition, strengthened by experience, plays its role in the investment process, but there is no substitute for careful analysis. It's why most investors are better off in mutual funds that pay analysts to spend their days putting companies under the microscope.